Budget versus Actual Variance Reporting

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Purpose

This procedure defines how monthly variances between budgeted and actual results are calculated, explained, and reported to asset management.

Variance Calculation

For each income statement line, variance is the actual amount less the budgeted amount for the period. A favorable variance increases net income (higher revenue or lower expense); an unfavorable variance decreases it. Both the current month and year-to-date variance are reported.

Reporting Threshold

A variance must be explained with written commentary when it exceeds the greater of 10 percent of the budgeted line or 5,000 dollars for the period. Smaller variances do not require commentary unless they reflect a trend.

Commentary Standards

Commentary explains the driver, not just the number. Stating that repairs were over budget is insufficient; the commentary identifies the cause, such as an unbudgeted HVAC compressor replacement, and whether it is one-time or ongoing.

Recurring vs One-Time

Each material variance is classified as one-time or recurring. Recurring unfavorable variances may indicate the budget needs to be reforecast, which is escalated to the Controller and regional manager.

Distribution

The variance report is distributed after month-end close to the regional manager and asset management. The regional manager receives portfolio-level summaries and property-level variance commentary but does not receive transaction-level detail through this report.